

24VECV04818 24VECV04818

County: los-angeles

Division: Civil Law and Motion

Department: O

Hearing date: 2026-06-29

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=NW%20%2CO%2C06%2F29%2F2026

Source SHA-256: 3bd4d56eed60cdf5bb6b7b1a24fee9f64fe60d1c9ff06f14f63a8fd0b34f9a13

Case Number: 24VECV04818 Hearing Date: June 29, 2026 Dept: O

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES - NORTHWEST DISTRICT

VALENTINA GAIDUCHIK,

Plaintiff,

vs.

FARMERS GROUP, INC.; FARMERS

INSURANCE EXCHANGE; TRUCK INSURANCE EXCHANGE; FIRE INSURANCE EXCHANGE, a

corporation; MID-CENTURY INSURANCE COMPANY; FARMERS NEW WORLD LIFE INSURANCE COMPANY; and
DOES 1 through

100, inclusive,

Defendants.

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

CASE NO.: 24VECV04818

ORDER SUSTAINING IN PART DEFENDANTS' DEMURRER WITHOUT LEAVE TO AMEND

ORDER GRANTING DEFENDANTS' MOTION TO STRIKE

I. BACKGROUND

Plaintiff Valentina Gaiduchik ("Plaintiff") alleges Farmers Group, Inc. ("FGI") Midcentury Insurance Company ("Midcentury"), and Farmers New World Life Insurance Company ("Farmers World") (jointly "Defendants") terminated Plaintiff

for pretextual reasons. (See Third Amended Complaint ("TAC"), ¶ 22.) Plaintiff alleges she was a "captive agent" of Defendants, operating her own Farmers insurance agency for approximately 25 years. (See id., ¶ 17.)

Defendants now demurrer to the TAC. Defendants Farmers Insurance Exchange, Truck Insurance Exchange, and Fire Insurance Exchange ("Exchange Defendants") move to strike the TAC.

II. PROCEDURAL HISTORY

On September 30, 2024, Plaintiff filed a Complaint alleging (1) Breach of

Contract; (2) Breach of Covenant of Good Faith and Fair Dealing; (3) Violation of

Business and Professions Code § 17200[1]; (4) Intentional Interference with Prospective

Economic Advantage; (5) Age Discrimination (Gov. Code § 12940); (6) National

Origin Discrimination (Gov. Code § 12940); and (7) Wrongful Termination in

Violation of Public Policy.

On January 24, 2025, Plaintiff dismissed Defendants Farmers Insurance Exchange, Fire Insurance Exchange, and Truck Insurance Exchange (collectively, the "Exchange Defendants").

On May 12, 2025, the Court granted Defendants' Motion to Compel Arbitration.

On May 27, 2025, Plaintiff filed her FAC alleging (1) Breach of Contract; (2) Breach of Implied Covenant of Good Faith and Fair Dealing; (3) Violation of Business and Professions Code § 17200; and (4) Intentional Interference with Prospective Economic Advantage.

On July 1, 2025, the Court granted the parties' Stipulation for Order Granting

Plaintiff Leave to File First Amended Complaint. The Court struck the order granting

Defendants' Motion to Compel Arbitration.

On December 1, 2025, the Court sustained Defendants' Demurrer to the First (as to FGI only), Second, and Fourth Causes of Action in the First Amended Complaint with leave to amend.

On December 22, 2025, Plaintiff filed a Second Amended Complaint alleging 1) Breach of Contract; (2) Breach of Implied Covenant of Good Faith and Fair Dealing; (3) Violation of Business and Professions Code § 17200; and (4) Intentional Interference with Prospective Economic Advantage against all Defendants.

On March 9, 2026, the Court sustained Defendants' demurrer to the Second Amended Complaint with leave to amend.

On March 27, 2026, Plaintiff filed a TAC alleging the same causes of action. The TAC names the Exchange Defendants Plaintiff previously dismissed on January 24, 2025.

On May 27, 2026, Defendants and Exchange Defendants filed the instant Demurrer and Motion to Strike.

On June 15, 2026, Plaintiff filed her Oppositions.

ON June 22, 2026, Defendants and Exchange Defendants filed their Replies.

III. JUDICIAL NOTICE

Defendants request judicial notice of (1) the Agent Appointment Agreement ("AAA") between Plaintiff and Farmers (Exhibit A); (2) the Addendum to Agent Appointment Agreement (Exhibit B); and (3) the Class Action Settlement Agreement in Parry v. Farmers Insurance Exchange et al., LASC Case No. BC682856 pursuant to Sections 452(h). (See RJN.)

The Court GRANTS Defendants' request. The Court may take judicial notice of agreements where the pleading references the agreements and where authenticity of the agreements are not disputed.

IV. MEET AND CONFER

Before filing a demurrer or motion to strike, the moving party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to demurrer or motion to strike for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer or motion to strike. (See Code Civ. Proc. § 430.41(a), §435.5(a).) A declaration must be filed with a demurrer regarding the results of the meet and confer process. (See Code Civ. Proc. § 430.41(a)(3).)

Defendants' counsel attests to his telephonic meet and confer efforts with Plaintiffs' counsel. (See Declaration of David Rutan filed May 27, 2026 ("Rutan Decl."), ¶¶ 4-5.) Rutan attests the parties agreed to stipulate to leave to amend the TAC, and subject to the Court's approval, the proposed Fourth Amended Complaint would, among other things, only add the Exchange Defendants to the breach of contract and Unfair Competition Law causes of action, not the other two causes of action. (See id., ¶ 5.) The parties also agreed to an extension for Defendants' demurrer to the TAC. (See id., ¶ 10.) After not receiving a copy of the proposed Fourth Amended Complaint, Defendants filed this Demurrer and Motion to Strike. (See id., ¶12.)

The Court finds Defendants satisfied their meet and confer obligation.

V. DEMURRER

A. Legal Standard

A demurrer may be brought if insufficient facts are stated to support the cause of action asserted. (See Code Civ. Proc. § 430.10(e).) "A demurrer tests the sufficiency of a complaint as a matter of law." (Durell v. Sharp Healthcare, (2010) 183 Cal.App.4th 1350, 1358.) "[T]he court gives the complaint a reasonable interpretation, and treats the demurrer as admitting all material facts properly pleaded." (Id.) Allegations are to be liberally construed. (See Code Civ. Proc. § 452.) In testing the sufficiency of the complaint, the court must assume the truth of (1) the properly pleaded factual allegations; (2) facts that can be reasonably inferred from those expressly pleaded; and (3) judicially noticed matters. (See Blank v. Kirwan, (1985) 39 Cal.3d 311, 318.) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. (See SKF Farms v. Superior Court, (1984) 153 Cal.App.3d 902, 905.) To the extent factual allegations conflict with the content of the exhibits to the complaint, we rely on and accept as true the contents of the exhibits and treat as surplusage the pleader's allegations as to the legal effect of the exhibits. (See Barnett v. Fireman's Fund Ins. Co. (2001) 90 Cal.App.4th 500, 505.) A demurrer can only be sustained when it disposes of an entire cause of action. (See Poizner v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 119; Kong v. City of Hawaiian Gardens Redev. Agency (2003) 108 Cal.App.4th 1028, 1046.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (See Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the complainant to show the Court a pleading can be amended successfully. (See id.) However, "[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend." (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245.)

B. Analysis

Defendants demurred to the first cause of action as to FGI and second and fourth causes of action as to all Defendants. Plaintiff concedes to Defendants' demurrer to the first, second, and fourth causes of action with respect to FGI. (See Opp. at 1:12-15.) Plaintiff also concedes to Defendants' demurrer to the fourth cause of action as to all defendants. (See id.) Plaintiff opposes Defendants' demurrer to the second cause of action for breach of implied covenant of good faith and fair dealing. (See id., at 1:23-26.) Defendants argue the Court should therefore sustain the unopposed demurrer to the first and second causes of action against FGI, and the fourth cause of action as to all Defendants, without leave to amend. (See Reply at 3:20-21.) The Court agrees with Defendants and since Plaintiff has not indicated an ability or desire for leave to amend those causes of action, the Court will sustain the demurrer without leave to amend as to them.

Thus, the Court SUSTAINS Defendants' Demurrer to the first and second causes of action for breach of contract and breach of implied covenant of good faith and fair dealing, respectively, as to FGI and the fourth cause of action for unfair competition as to all Defendants WITHOUT LEAVE TO AMEND.

1. Plaintiff's Breach of Implied Covenant of Good Faith and Fair Dealing is Sufficiently Pled as to Midcentury and Farmers World

The elements for breach of implied covenant of good faith and fair dealing are (1) existence of a contractual relationship between the parties, (2) implied duty, (3) breach, and (4) causation. (Smith v. San Francisco (1990) 225 Cal.App.3d 38, 49.) "A breach of the implied covenant of good faith and fair dealing involves something beyond breach of the contractual duty itself and it has been held that bad faith implies unfair dealing rather than mistaken judgment. . . ." (Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1394 [internal quotations and citation thereto omitted].) "If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated ... [T]he only justification for asserting a separate cause of action for breach of the implied covenant is to obtain a tort recovery." (Careau & Co., 222 Cal.App.3d at 1395; see also Guz v. Bechtel Nat. Inc. (2000) 24 Cal.4th 317, 352 [holding, on summary judgement, that where breach of an actual term is alleged, a separate implied covenant claim, based on the same breach, is superfluous].)

"Generally, outside the insurance context, 'a tortious breach of contract ... may

be found when (1) the breach is accompanied by a traditional common law tort, such

as fraud or conversion; (2) the means used to breach the contract are tortious,

involving deceit or undue coercion or; (3) one party intentionally breaches the

contract intending or knowing that such a breach will cause severe, unmitigable harm in the form of mental anguish, personal hardship, or substantial consequential damages.” (Erich v. Menezes (1999) 21 Cal.4th 543, 553-54.)

“But insofar as the employer's acts are directly actionable as a breach of an implied-in-fact contract term, a claim that merely realleges that breach as a violation of the covenant is superfluous. ... [T]he remedy for breach of an employment agreement, including the covenant of good faith and fair dealing implied by law therein, is solely contractual. In the employment context, an implied covenant theory affords no separate measure of recovery, such as tort damages. ... Allegations that the breach was wrongful, in bad faith, arbitrary, and unfair are unavailing; there is no tort of “bad faith breach” of an employment contract.” (Guz v. Bechtel Nat. Inc. (2000) 24 Cal.4th 317, 352.) “We do not suggest the covenant of good faith and fair dealing has no function whatever in the interpretation and enforcement of employment contracts. As indicated above, the covenant prevents a party from acting in bad faith to frustrate the contract's actual benefits. Thus, for example, the covenant might be violated if termination of an at-will employee was a mere pretext to cheat the worker out of another contract benefit to which the employee was clearly entitled, such as compensation already earned.” (Id., at fn. 18 [emphasis in original].)

Defendants argue the second claim fails because it is duplicative of Plaintiff's breach of contract claim notwithstanding the new allegations the TAC pleads concerning the alleged basis for the AAA's termination. (See Dem. at 9:24-10:2.) Defendants also argue the Court previously found the allegations Defendants interfered with her customers could not sustain a breach of implied covenant claim because they are in fact Defendants' customers. (See id., at 10:9-21.) Defendants argue Plaintiff's breach of implied covenant and breach of contract causes of action seek the same damages for the same alleged actions. (See id. at 4:25-26.)

Plaintiff argues she sufficiently states her claim based on new allegations of Defendants' fraud at paragraph 43. (See Opp. at 4:17-21.)

Defendants argue the claim fails because it alleges Defendants breached the AAA by terminating Plaintiff without just cause and Plaintiff's new allegations only further explain why Defendants lacked just cause.

The Court finds the TAC sufficiently alleges a breach of implied covenant of good faith and fair dealing claim as to the remaining Defendants, Midcentury and Farmers World. Here, the TAC alleges “Pursuant to the CONTRACT, PLAINTIFF was a captive agent selling exclusively FARMERS insurance policies for which PLAINTIFF was to be compensated by FARMERS by way of commissions and bonuses earned...” (TAC, ¶ 28.) “Knowing that there was no legitimate cause for termination as required by the AAA, FARMERS terminated the AAA anyway [to] avoiding having to pay PLAINTIFF substantial commissions and bonuses that she had earned...Also, the...insistence that the meeting had to occur immediately, before October, was in bad faith and done deliberately for the purpose of denying PLAINTIFF payment of her Bonus that was due October 1, 2022.” (TAC, ¶¶ 48, 52-53.) Plaintiff alleges noneconomic damages for serious and severe emotional distress. (See id., ¶ 59.) Because Plaintiff alleges Defendants terminated her AAA as pretext in part to cheat her out of her upcoming earned bonus and alleges noneconomic damages, the TAC sufficiently alleges a breach of implied covenant claim that is not merely duplicative of her breach of contract claim. (See id., ¶ 36 [Defendants' allegedly breached the AAA by terminating the agreement without just cause].)

Additionally, the Court finds Plaintiff insufficiently alleges a tortious breach of contract based on a fraud theory. Here, Plaintiff alleges Defendants fraudulently manufactured a reason for terminating Plaintiff's AAA. (See id., ¶¶ 44-47, 51.) Plaintiff also alleges Defendants fraudulently represented to Plaintiff in the Class Action Settlement Agreement that the AAA would be amended to require just cause for termination but did not intend to honor that promise. (See id., ¶ 43.) However, neither fraud allegations constitute tortious breach of the contract because (1) Plaintiff does not allege she was fraudulently induced into entering the AAA, as she had already done so in 1997 (See id., ¶¶ 20, 43); and (2) the gravamen of Plaintiff's allegations that Defendants perpetuated a fraud by manufacturing a reason for termination and that Defendants fraudulently represented to honor the AAA's amendment is that Defendants terminated the AAA under pretext, or without just cause. These allegations

do not constitute tortious breach of the contract, but rather reallege that Defendant breached the AAA's terms.

In sum, although Plaintiff largely pleads the same alleged acts and seeks the same damages as the breach of contract claim, because Plaintiff also seeks additional tort damages for severe and emotional distress, the Court finds the claim is not entirely superfluous of the breach of contract claim. (See *Careau & Co.*, 222 CalApp.3d at 1395.)

The Court **OVERRULES** Defendants Demurrer to the second cause of action for breach of implied covenant of good faith and fair dealing as to Midcentury and Farmers World.

2. Plaintiff Has Not Sufficiently Pled the Fourth Cause of Action for Intentional Interference with Prospective Economic Advantage

The elements of a claim for intentional interference with prospective economic

advantage include “(1) an economic relationship between the plaintiff and some third

party, with the probability of future economic benefit to the plaintiff; (2) the

defendant's knowledge of the relationship; (3) intentional or negligent acts on the part

of the defendant designed to disrupt the relationship; (4) actual disruption of the

relationship; and (5) economic harm to the plaintiff proximately caused by the acts of

the defendant.” (*Crown Imports, LLC v. Superior Court* (2014) 223 Cal. App.4th 1395, 1404 [citations, brackets, and quotation marks omitted].) Further, “the alleged

interference must have been wrongful by some measure beyond the fact of the

interference itself. For an act to be sufficiently independently wrongful, it must be

unlawful, that is, it is proscribed by some constitutional, statutory, regulatory,

common law, or other determinable legal standard.” (*Id.* (cleaned up).)

Defendants argue Plaintiff failed to cure the defects cited by the Court in its previous order, “the SAC fails to allege Plaintiff had an economic relationship with a third party with the probability of future, nonspeculative, economic benefit to Plaintiff. Plaintiff has insufficiently stated her claim.” (Dem. at 3:3-8, fn. 3; March 9, 2026 Order.) Defendants argue Plaintiff alleges she is an agent for Defendants; thus she has alleged she was acting on behalf of Farmers in connection with the customers' relationship with Farmers and Plaintiff therefore has not alleged, and cannot allege, a future economic relationship with policyholders because those relationships are with the insurer, not with Plaintiff. (See Dem. at 12:5-8.) Defendants argue Plaintiff only alleges an economic relationship with Farmers. (See *id.*, at 12:9-10.) Further, Defendants argue Plaintiff failed to cure the defect that she fails to allege an independent wrongful act by Defendants. (See Dem. at 12:27-28.)

The Court finds the claim is insufficiently stated. Here, the TAC alleges Plaintiff had an “economic relationships with those thousands of insurance clients to whom she sold insurance and profited therefrom.” (TAC, ¶ 79.) As before, the Court also finds the TAC “fails to allege Plaintiff had an economic relationship with a third party with the probability of future, non-speculative, economic benefit to Plaintiff.” (March 9, 2026 Order.) As Defendants point out, Plaintiff alleges she is a “Captive Agent” of Defendants and a “FARMERS agent” who would sell insurance products to insurance clients. (See id., ¶ 2, 23.) Plaintiff alleges she was compensated by Farmers pursuant to the AAA. (See id., ¶ 28.) Thus, Plaintiff has not alleged an economic relationship between herself and insurance clients, with the probability of future economic benefit to the Plaintiff as she alleges she was compensated by Farmers.

Thus, the Court SUSTAINS the Demurrer as to Plaintiff’s fourth cause of action for intentional interference with prospective economic advantage as to all Defendants WITHOUT LEAVE TO AMEND because the Court finds there is no reasonable possibility of Plaintiff successfully amending this cause of action after having been given several opportunities to do so.

VI. MOTION TO STRIKE

A. Legal Standard

The court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (See Code Civ. Proc. § 436(a).) The court may also strike all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (See id. at § 436(b).) This provision is for “the striking of a pleading due to improprieties in its form, or in the procedures pursuant to which it was filed.” (Ferraro v. Camarlinghi (2008) 161 Cal.App.4th 509, 528 [emphasis in original].) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (See Code Civ. Proc. at § 437.)

B. Plaintiff Cannot Reinsert the Exchange Defendants Without Leave of Court

The Exchange Defendants move to strike the TAC on grounds Plaintiff failed to obtain leave of Court before naming them as defendants on the TAC. (See Mot. at 4:3-5.)

Plaintiff acknowledges the Exchange Defendants were added to the TAC without first seeking leave of Court. (See Opp. at 1:25-26.) Plaintiff argues the Court should allow the TAC to proceed as to Exchange Defendants in the interest of judicial efficiency as Plaintiff will nonetheless be filing a Motion for Leave to Amend.

The Court will grant Defendants’ Motion to Strike. Plaintiff initially named the Exchange Defendants as defendants then dismissed them prior to filing her FAC, SAC, and TAC. The Court’s Order sustaining Defendants’ demurrer to the SAC only allowed Plaintiff to correct the defects in the SAC; the Court did not grant leave to add new parties. (See March 9, 2026, Order; Patrick v. Alacer Corp. (2008) 167 Cal.App.4th 995, 1015 [when a demurrer is sustained with leave to amend, the leave must be construed as permission to the pleader to amend the causes of action to which the demurrer has been sustained, not add entirely new causes of action].)

Thus, the Court GRANTS Exchange Defendants’ Motion to Strike the TAC.

VII. CONCLUSION

Based on the foregoing, the Court SUSTAINS IN PART Defendants’ Demurrer WITHOUT LEAVE TO AMEND. Specifically, the Court SUSTAINS Defendants’ Demurrer to the first and second causes of action for breach of contract and breach of implied covenant of good faith and fair dealing, respectively, as to FGI and the fourth cause of action for intentional interference with prospective economic advantage as to all Defendants WITHOUT LEAVE TO AMEND.

The Court OVERRULES Defendants' Demurrer to the second cause of action for breach of implied covenant of good faith and fair dealing as to Midcentury and Farmers World.

The Court GRANTS Exchange Defendants' Motion to Strike the TAC.

Defendants are ordered to file an Answer only by no later than July 13, 2026.

IT IS SO ORDERED.

DATED: June 29, 2026

Hon. Michael R. Amerian

Judge, Superior Court

[1] All statutory references are to California codes.